



**BEFORE THE
FEDERAL MARITIME COMMISSION**

DOCKET NO. 25-07

PKDC, LLC
Complainant,

v.

COSCO SHIPPING LINES CO.,
Respondent

VERIFIED AMENDED COMPLAINT

Complainant, PKDC, LLC (PKDC or Complainant), by and through its attorneys, Sandler, Travis & Rosenberg, P.A., alleges as follows:

I. COMPLAINANT

1. Complainant, PKDC, is a limited liability company existing under the laws of the State of Colorado with its principal place of business at 5641 N Broadway, Denver, Co 80216. Complainant may be contacted through its counsel at the numbers and email addresses listed below.

II. RESPONDENT

2. Respondent COSCO Shipping Lines Co., Ltd. ("COSCO") is a corporation organized under the laws of China. COSCO's corporate headquarters is located at No. 378, Dong Da Ming Road, Shanghai, China. COSCO is an ocean common carrier conducting business in the United States through Respondent COSCO Shipping Lines (North America) Inc. ("COSCO

America”). COSCO America’s principal place of business is located at 100 Lighting Way, 3rd Floor, Secaucus, New Jersey 07094. COSCO was at all times pertinent to this complaint an ocean common carrier within the meaning of the Shipping Act, 46 U.S.C. § 40102(7), subject to regulation by the Federal Maritime Commission (“FMC”).

III. JURISDICTION AND LEGAL AUTHORITY

3. The FMC has jurisdiction over this matter pursuant to the Act, 46 U.S.C. 40101 *et seq.*

4. The FMC has personal jurisdiction over Respondent as an ocean common carrier as the term is defined in 46 USC §§ 40102(7)(9) and (18).

5. Respondent’s actions complained of herein constitute a failure of Respondent to establish, observe, and enforce just and reasonable practices relating to receiving, handling, storing, and delivering property of Complainant in violation of 46 U.S.C. § 41102(c) and 46 CFR § 545.5, including the Incentive Principal as articulated in Section 545.5.

IV. THE MATTERS COMPLAINED OF (ALLEGED FACTS)

6. Complainant is a U.S. based furniture distributor based in Colorado. Complainant imports furniture from various countries including China, Vietnam, and India. Complainant relies on ocean common carriers, including Respondent, to ship goods to the United States.

7. In 2022, PKDC shipped hundreds of containers using COSCO under a shipping contract entered into between PKDC and COSCO.

8. In the shipping contract, Respondent agreed to provide up to 10-days free chassis rental from Respondent’s nominated chassis provider.

9. Many, if not substantially all of the subject containers were landed in various ports in California and then shipped to the UP Memphis and BNSF Memphis rail terminals via rail.

10. During much of 2022, UP Memphis and BNSF Memphis rail terminals experienced an influx of containers.

11. The influx of containers resulted in a variety of issues affecting container unavailability including but not limited to the stacking of containers, in some cases, for months at a time.

12. The influx of containers also resulted in a systemic shortage of appointments for pick up and return and a shortage of chassis including chassis from the Respondent's nominated chassis provider.

13. Exacerbating the lack of chassis, often COSCO's required location for container return would not allow dismounting of the container for reuse of chassis to outgate other COSCO containers.

14. Stacked containers, a lack of appointments and/or lack of chassis including a lack of chassis at the Respondent's nominated chassis provider, rendered containers unavailable for pick up and incapable of being returned and detention and demurrage charges could not incentivize freight fluidity.

15. Despite the issues, COSCO assessed PKDC with detention and demurrage on hundreds of containers amounting to hundreds of thousands of dollars in charges.

16. In fact, between May and October of 2022 alone, Complainant was invoiced and paid nearly \$1,000,000.00 in charges assessed by the Respondent. A list of challenged invoices annexed as Exhibit A.

17. Per 46 U.S.C. § 41102(c), Respondent is statutorily required to establish and enforce reasonable practices with respect to its assessment of detention and demurrage charges.

18. As explained in Section 545.5, "the purpose of demurrage and detention are to incentivize cargo movement," and therefore the FMC "will consider in the reasonableness analysis

under section 41102(c) the extent to which demurrage and detention are serving their intended purposes as financial incentives to promote freight fluidity.”

19. On information and belief, the majority of the charges complained of herein were assessed as a result of situations out of Complainant’s control in violation of the incentive principal and therefore the charges could not serve the primary intended purpose of the promotion of freight fluidity and were therefore unreasonable.

20. Complainant and its logistics providers routinely informed Respondent of the issues outside of Complainant’s control resulting in containers not being picked up or returned within free time including but not limited to lack of appointments, chassis unavailability, unavailable stacked containers and Respondent was well aware of same.

21. For example:

- On July 26, 2022, PKDC’s logistic provider contacted COSCO and requested a container return location “that will dismount instead of UP so that we may reuse the chassis to outgate cosco containers that are in storage? COSCO responded “empty returns are to go to UPRR, at the moment we don’t have another alternative.”
- On September 28, 2022, Ms. Jennifer Barr, of COSCO, sent an email acknowledging the issue with stacked containers explaining “[u]nfortunatly when the containers are stacked, there is nothing that can be done to facilitate availability. The rail does not have the ability to pull a container from a stack until other units have been moved. The only thing that can be done is to wait for chassis to open up.
- On September 29, 2022, COSCO was alerted that containers were being stacked for months at a time. Specifically, COSCO was sent the following email:

UP Team,

Our customer PKDC has several containers in stacks at your ramp in Marion Arkansas. We are trying to find out why storage is owed on these? If there are no chassis to mount them on, shouldn't storage start after the container is mounted on a chassis? Why should our customer have to pay \$1900 per container because you cannot mount them? Your assistance and attention to this matter is greatly appreciated.

Some of these containers have been in stacks since 7/31.

22. In addition, the issues occurring at the railyards in 2022 were well publicized. *See e.g.* [West Coast port congestion leads railroads on a new cross-country trip](#)

23. Despite being well aware of the issues affecting the ability to retrieve and return containers, Respondent still assessed hundreds of thousands of dollars in unreasonable charges.

VIII. CAUSATION

24. Respondent's practice of assessing charges in violation of the incentive principal directly and proximately caused Complainant injury by forcing Complainant to pay unreasonable and illegal charges.

VI. DAMAGES

25. Respondent's assessment of unjust and unreasonable charges caused Complainant to pay hundreds of thousands of dollars in unreasonable charges.

VII. CAUSES OF ACTION VIOLATION OF 46 U.S.C. § 41102(c) & 46 C.F.R § 545.5

26. Complainant repeats and realleges each allegation set forth above as is fully set forth herein.

27. Respondent's practices alleged herein including assessing charges in violation of the incentive principal constitute a failure to establish, observe, and enforce just and reasonable practices relating to receiving, handling and storing and delivering Complainant's property in violation of 46 U.S.C. § 41102(c).

VII. PRAYER FOR RELIEF

WHEREFORE, Complainant respectfully requests that COSCO be ordered to answer this Complaint pursuant to 46 U.S.C. Section 41301(b) and prayers for relief as follows:

1. An investigation pursuant to 46 U.S.C. 41301(c) into the matters alleged in this Complaint.
2. An order after investigation pursuant to 46 U.S.C. 41301(c) finding that Respondent has violated the provisions outlined herein.
3. An Order compelling Respondent to cease and desist from violating the Shipping Act as outlined herein and requiring Respondent to put into place practices to preclude future violations.
4. An Order requiring Respondent to pay Complainant reparations for the unlawful practices outlined herein in an amount to be proven pursuant to 46 U.S.C. 41305, with interest pursuant to 46 U.S.C. 41305(A), Complainant's reasonable attorney's fees, as the prevailing party pursuant to 46 U.S.C. 41305(e), and any other amounts the FMC determines to be just and proper.
5. Such other further relief as the FMC determines to be just and proper.

VIII REQUEST FOR ORAL HEARING

Complainant requests an oral hearing in Washington, D.C.

Respectfully submitted,

SANDLER, TRAVIS & ROSENBERG, P.A.

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By: /s/ Jason M. Kenner
JASON M. KENNER

/s/ Andrew Margolis
ANDREW MARGOLIS

EXHIBIT A

Invoice Number	Charges
06-2022	
HOU00245202	\$180
HOU00253537	\$6,965
HOU00253537	\$7,685
HOU00245657	\$125
HOU00245657	\$305
HOU00245772	\$1,745
HOU00245772	\$305
HOU00245839	\$305
HOU00245839	\$125
HOU00245906	\$6,245
HOU00245907	\$7,685
HOU00246504	\$10,980
HOU00246504	\$10,800
HOU00246504	\$10,800
HOU00246504	\$10,260
HOU00246504	\$10,260
HOU00246681	\$305
HOU00246916	\$1,745
HOU00261463	\$3,905
HOU00262551	\$5,345
HOU00262551	\$5,525
HOU00263143	\$845
HOU00263143	\$665
7-2022	
HOU00212177	\$2,465
HOU00212177	\$2,285
HOU00212177	\$2,105
HOU00212177	\$2,285
HOU00212178	\$1,080
HOU00212179	\$2,285
HOU00212179	\$1,205
HOU00212180	\$5,165
HOU00212182	\$4,860
HOU00212183	\$1,080
HOU00212186	\$3,600
HOU00212186	\$3,960
HOU00212189	\$4,500
HOU00212190	\$3,960
HOU00212191	\$3,780
HOU00216642	\$720
HOU00217146	\$7,020
HOU00217976	\$6,300

Invoice Number	Charges
HOU00219185	\$1,025
HOU00220490	\$1,025
HOU00221156	\$4,680
HOU00221820	\$6,745
8-2022	
HOU00245626	\$1,385
HOU00253531	\$305
HOU00253541	\$3,545
HOU00253541	\$3,725
HOU00253545	\$3,725
HOU00253546	\$5,885
HOU00253552	\$8,405
HOU00253552	\$8,585
HOU00262348	\$5,525
HOU00262372	\$4,085
HOU00262372	\$5,165
HOU00262482	\$5,165
HOU00262482	\$4,985
HOU00262500	\$4,445
HOU00262500	\$4,985
HOU00262518	\$2,825
HOU00262518	\$4,445
HOU00262592	\$5,525
HOU00262592	\$5,345
HOU00262592	\$5,165
09-2022	
HOU00269432	\$4,985
HOU00269432	\$5,345
HOU00269432	\$4,985
HOU00269432	\$4,985
HOU00269447	\$3,600
HOU00269450	\$3,365
HOU00269489	\$3,545
HOU00269502	\$3,905
HOU00269502	\$3,905
HOU00269534	\$4,805
HOU00269534	\$3,725
HOU00269573	\$485
HOU00269573	\$485
HOU00269578	\$3,725
HOU00269578	\$3,545
HOU00269578	\$2,645

Invoice Number	Charges
HOU00269713	\$6,065
HOU00269735	\$3,365
HOU00269735	\$3,005
HOU00269735	\$2,825
HOU00269735	\$2,825
HOU00269773	\$125
HOU00269775	\$1,565
HOU00269775	\$3,725
HOU00269788	\$1,025
HOU00269788	\$305
HOU00269831	\$3,545
HOU00269832	\$3,905
HOU00269849	\$5,165
HOU00269852	\$3,545
HOU00269907	\$5,040
HOU00269909	\$3,185
HOU00269909	\$3,005
HOU00269928	\$3,005
HOU00269943	\$3,365
HOU00269953	\$305
HOU00269967	\$4,265
HOU00269968	\$4,085
HOU00269968	\$3,005
HOU00269968	\$3,005
HOU00269982	\$6,245
HOU00269989	\$2,645
HOU00269989	\$3,905
HOU00270009	\$1,745
HOU00270009	\$305
HOU00270009	\$125
HOU00270031	\$4,265
HOU00270031	\$3,725
HOU00270074	\$4,445
HOU00270090	\$4,085
HOU00270125	\$4,625
HOU00271291	\$1,565
HOU00271291	\$2,105
HOU00271395	\$125
HOU00271671	\$665
HOU00271671	\$665
HOU00271671	\$2,285
HOU00271671	\$2,105

Invoice Number	Charges
HOU00272078	\$3,725
HOU00272591	\$305
HOU00272591	\$305
HOU00272591	\$1,025
HOU00272882	\$125
HOU00273165	\$3,725
HOU00273165	\$3,905
HOU00273466	\$1,385
HOU00273524	\$1,565
HOU00273524	\$1,385
HOU00273524	\$2,105
HOU00273524	\$2,645
HOU00273982	\$1,205
HOU00274285	\$2,105
HOU00274285	\$665
HOU00274285	\$1,385
HOU00274285	\$1,385
HOU00274312	\$1,565
HOU00274415	\$1,205
HOU00274687	\$665
HOU00274687	\$665
HOU00274877	\$485
HOU00274877	\$1,385
HOU00274877	\$2,105
HOU00275101	\$125
HOU00275101	\$125
HOU00275101	\$125
HOU00275396	\$1,385
HOU00275396	\$1,385
HOU00275425	\$1,385
HOU00275617	\$665
HOU00275617	\$845
HOU00275617	\$485
HOU00275617	\$485
HOU00275617	\$485
HOU00275617	\$485
HOU00275909	\$845
HOU00275909	\$1,205
HOU00276008	\$2,465
HOU00276008	\$2,465
HOU00276404	\$485
HOU00276410	\$1,385

Invoice Number	Charges
HOU00276584	\$1,565
HOU00276584	\$1,565
HOU00276584	\$1,565
HOU00276584	\$1,565
HOU00276584	\$1,385
HOU00276584	\$1,385
HOU00276584	\$1,205
HOU00276706	\$1,205
HOU00276952	\$2,465
HOU00276952	\$2,465
HOU00276952	\$2,465
HOU00276952	\$2,285
HOU00276965	\$2,105
HOU00276965	\$2,105
HOU00276965	\$2,105
HOU00276978	\$2,285
HOU00276978	\$3,365
HOU00276985	\$845
HOU00277003	\$1,025
HOU00277003	\$665
HOU00277337	\$2,465
10-2022	
HOU00283623	\$305
HOU00283623	\$305
HOU00284125	\$845